

mortgage bond itself, even though the investor's chief reliance in both cases must be the same—*i.e.*, the ability of the company to meet all its obligations. But this distinction would be equally applicable to a second mortgage issue and hence is not concerned with debentures as such. We have already discussed the practicalities of selecting as between senior and junior liens (Chap. 6) and shall refer to this point again when we consider interest coverage.

Income Bonds in Weaker Position than Debentures. While the New York statute is too severe in its categorical exclusion of all unsecured public-utility issues, its acceptance of railroad *income* issues on the same basis as railroad *debentures* is fully as objectionable for the opposite reason. The provisions of income bonds vary greatly among the different issues, the basic distinction being between those on which interest must be paid if earned and those over which the directors have a greater or lesser measure of discretion. Generally speaking, income bonds are allied more closely to preferred stocks than to ordinary fixed obligations. We shall consider them, accordingly, in our chapter on preferred stocks, in which we shall set forth the need for especial caution and strictness in the selection of this type of security for *straight investment*.

Standards of Safety Should Not Be Relaxed Because of Early Maturity. Investors are inclined to attach considerable importance to the *maturity date* of an issue, because of its bearing on whether it is a short- or long-term security. A short maturity, carrying with it the right to repayment soon after purchase, is considered an advantageous feature from the standpoint of safety. Consequently, investors are prone to be less exacting in their standards when purchasing notes or bonds due in a short time (say, up to three years) than in their other bond selections.

In our opinion this distinction is unsound. A near maturity means a problem of refinancing for the company as well as a privilege of repayment for the investor. The bondholder cannot count on the mere fact of maturity to assure this repayment. The company must either have the cash available (which happens relatively seldom) or else an earning power and financial position which will permit it to raise new funds. Corporations frequently sell short-term issues because their credit is too poor at the time to permit of a long-term flotation at a reasonable rate. Such a practice frequently results in trouble for the company, and therefore for the investor, at maturity.